UNITED STATES OF AMERICA
BEFORE THE FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate Transmission System	Docket No. RM26-4-000

COMMENTS OF THE MARYLAND ENERGY ADMINISTRATION

(November 21, 2025)

U.S. electricity demand is projected to grow significantly in the next decade, largely driven by data center development and artificial intelligence (AI) applications but also new domestic manufacturing and electrification in the buildings and transportation sectors.[1] While maintaining an affordable and reliable grid is paramount, ensuring new data centers can access sufficient energy supply is vital for protecting national security and ensuring that AI systems are safe and secure. Maryland has a strong interest in supporting the domestic development of AI applications, as they represent opportunities for state leadership in technology innovation and economic growth.

The Maryland Energy Administration (MEA) appreciates the opportunity to comment on elements of the Secretary of Energy's proposed Advanced Notice of a Proposed Rulemaking (ANOPR). MEA advises the Office of the Governor of the State of Maryland and the Maryland General Assembly on matters relating to energy policy. MEA administers grant and loan programs to encourage clean energy technologies in all sectors of Maryland's economy.

[1] North American Electric Reliability Corporation (NERC), 2024 Long-Term Reliability Assessment (Jul. 11, 2025). https://www.nerc.com/pa/RAPA/ra/Reliability%20Assessments%20DL/NERC_Long%20Term%20Reliability%20Assessment_2024.pdf

First, MEA joins the National Association of Regulatory Utility Commissioners (NARUC) in urging the Federal Energy Regulatory Commission (FERC) to preserve and affirm states' retail regulatory authority under the Federal Power Act, ensure that large load interconnections do not compromise grid reliability or impose undue costs on retail customers, and respect state tools for promoting system flexibility and equitable cost allocation.[2] While MEA's understanding of the implications of the Secretary of Energy's proposed ANOPR will continue to evolve, we offer observations from the State's experience to date with large load interconnections as they relate to some of the principles that DOE believes should inform the Commission's rulemaking, should FERC move forward. On May 20, 2025, Governor Moore signed the Next Generation Energy Act (HB1035/SB937) into law.[3] Among many provisions designed to address energy costs in the State, the law directs electric utilities to develop specific rate schedules for large load customers.

In the Secretary's proposed ANOPR, the second principle states that "consistent with the Commission's pro forma LGIP and LGIA, the reforms should only apply to new loads greater than 20 MW and, for hybrid facilities, where the load is greater than 20 MW."[4] Setting a minimum load threshold can allow smaller load customers to receive service through other avenues, where the associated financial risks are not as significant. For example, Maryland's

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[2] National Association of Utility Regulatory Commissioners (NARUC), Substantive Resolutions Passed by the NARUC Board of Directors at the November 9-12, 2025 NARUC Annual Meeting and Education Conference in Seattle, Washington, EL-1 Resolution Urging the Federal Energy Regulatory Commission to Preserve and Affirm State Retail Regulatory Jurisdiction in its Large Load Interconnection Proceeding. https://pubs.naruc.org/pub/97FE08D1-CF4D-9199-BA7F-5884DD427E55?_gl=1*15eap*_ga*MjAzNjMyM

[3] 2025 Md. Laws ch. 625.

[4] U.S. Department of Energy (DOE), Secretary of Energy's Direction that the Federal Energy Regulatory Commission Initiate Rulemaking Procedures and Proposal Regarding the Interconnection of Large Loads Pursuant to the Secretary's Authority Under Section 403 of the Department of Energy Organization Act (Oct. 23, 2025) at 10-11. https://www.energy.gov/sites/default/files/2025-10/403%20Large%20Loads%20Letter.pdf

Next Generation Energy Act defines a "large load customer" to mean a commercial or industrial customer for retail electric service that has–or is projected to have–an aggregate monthly demand of at least 100 megawatts (MW) and a load factor of over 80%.[5] As another example, under the PJM Interconnection (PJM) Large Load Adjustment process, in which electric distribution companies (EDCs) and Load Serving Entities (LSEs) submit information on significant, known load changes to PJM to inform its long-term load forecast report, the Load Analysis Subcommittee (LAS) considers requests with a category total of 50 MW or larger. If an EDC or LSE believes a request below 50 MW is necessary, PJM will consider it on a case by case basis.[6] Thus, MEA recommends FERC consider a higher threshold than 20 MW for defining new load and hybrid facilities for the purposes of the proposal, and allow some flexibility to meet unique regional needs.

MEA concurs with the fourth principle, which provides that "like generating facilities, load and hybrid facilities should be subject to standardized study deposits, readiness requirements, and withdrawal penalties."[7] Imposing financial and readiness requirements is important to limit the inclusion of speculative projects that are unlikely to materialize, as when planning the existing capacity market and the Regional Transmission Expansion Plan (RTEP). Notably, the Next Generation Energy Act requires the Maryland Public Service Commission (PSC), Maryland's public utility commission, to consider whether the specific rate schedule for large load customers protects residential retail electric customers from the financial risks

[5] Md. Code Ann., Public Utilities §4-212(a)(3) (2025).
[6] PJM Resource Adequacy Planning Department, Load Adjustment Request Implementation (Jul. 1, 2025). https://www.pjm.com/-/media/DotCom/committees-groups/subcommittees/las/postings/load-adjustment-request-implementation.pdf
[7] DOE, *supra* at 11.

associated with large load customers, including through the use of penalties and reimbursement requirements.[8] Each investor-owned electric company and electric cooperative must submit a rate schedule in accordance with the law to the PSC for approval by September 1, 2026.

While MEA appreciates DOE's observation that "[readiness] provisions deter speculative projects and provide *transmission providers* with more useful information to more accurately forecast demand on their systems," states, too, have an important role in ensuring the accuracy of forecast demand.[9] Many states are actively working to improve their forecasting and planning capabilities, to avoid overbuilding–or underbuilding–the electric system amidst emerging challenges and opportunities associated with load growth. MEA participates in an initiative co-led by NARUC and the National Association of State Energy Officials (NASEO) titled, "Comprehensive Electricity Planning in an Era of Load Growth," for the development of state-led pathways toward a more resilient, efficient, and affordable grid that meets current and future electricity needs across the U.S.[10] MEA urges FERC to approach transmission-level large load interconnections in a manner that will support and not hinder state decisionmakers as they work to develop and enhance historically siloed state resource, distribution, and transmission planning processes for greater alignment, increased transparency, and more robust stakeholder engagement, and foster constructive state, regional, and federal collaboration.[11]

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[8] Md. Code Ann., Public Utilities §4-212(d)(2) (2025).
[9] DOE, *supra* at 11. Emphasis added.
[10] https://www.naruc.org/core-sectors/electricity-energy/comprehensive-electricity-planning1/
[11] https://www.energy.gov/sites/prod/files/2017/01/f34/Federal%20State%20Jurisdictional%20Split--Implications%20for%20Emerging%20Electricity%20Technologies.pdf

The seventh principle asserts that "the interconnection study of large loads that agree to be curtailable and hybrid facilities that agree to be curtailable and dispatchable should be expedited."[12] MEA believes well-designed voluntary pathways to faster interconnection can provide effective incentives. Further, MEA urges that any expediting of interconnection studies of large loads ensure minimal disruption to PJM's generation interconnection process. Interconnection bottlenecks impart real costs for Maryland consumers. An analysis found that consumer electricity costs could have been reduced significantly in the 2025/2026 Base Residual Auction had the PJM interconnection process been working more efficiently to bring needed supply online to match demand.[13] While PJM's transition to a cluster cycle structure is expected to reduce processing times when the queue is reopened to new requests, FERC must ensure efforts to address large load interconnections complement these reforms.

The eighth principle states "load and hybrid facilities should be responsible for 100% of the network upgrades that they are assigned through the interconnection studies."[14] MEA urges fair allocation of electricity system costs to large load customers, which can prevent unfair shifting of costs to other customers. The Next Generation Energy Act requires that when making a decision on approving a utility large load tariff, the Maryland Public Service Commission consider whether the tariff requires the large load customer to cover the just and reasonable cost associated with any electric transmission or distribution system buildout to: (i) interconnect the large load customer to the electric system, or (ii) serve the large load customer.[15]

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[12] DOE, *supra* at 12.
[13] Grid Strategies, Penny-wise and pound foolish: PJM's Capacity Auction Demonstrates the Cost Imperative of Simplified and Speedy Interconnection (Feb. 24, 2025). https://blog.advancedenergyunited.org/reports/penny-wise-and-pound-foolish-pjm-report
[14] DOE, *supra* at 12.
[15] Md. Code Ann., Public Utilities §4-212(d)(1) (2025).

Finally, FERC actions should not exacerbate affordability and reliability issues, nor constrain state actions on resource decisions, demand response, virtual power plants (VPPs), distributed generation, behind-the-meter generation and energy efficiency. Affordability for consumers and businesses and economic competitiveness are crucial to Maryland's energy future, and FERC must not lose sight of that objective.

Respectfully submitted,

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